

Wall Street Pros Panic Over Covid While Mom and Pop Buy

IF YOU'RE ONE of those people—a pundit, investor, or active manager—who's been bracing for passive investing and exchange-traded funds to blow up the stock market, well, I have some bad news for you.

But first, let's recall some warnings about passive investing:

- Index funds are Marxist,^{[348](#)} or Communist.^{[349](#)}
- Or socialist.^{[350](#)}
- Passive investing is “devouring capitalism.”^{[351](#)}
- It has reached a “mania.”^{[352](#)}
- The passive boom is creating “frightening” risk for markets.^{[353](#)}
- Passive investing is “lobotomized investing.”^{[354](#)}
- Indexing represents a danger to the economy.^{[355](#)}
- Your love of index funds is terrible for our economy.^{[356](#)}
- They are a bubble waiting to burst.^{[357](#)}
- Passive investing poses a systemic risk.^{[358](#)}

But a funny thing happened on the way to this dangerous, systemic, Marxist bubble:

Nothing.

If ever there was a situation in which the critics told us passive investing was destined to fail, 2020 should have been it: the fastest bear market on record. The market externality caused by the coronavirus pandemic sent volatility spiking wildly, sending markets down the most since the GFC. For anyone younger than 30, March 2020 was probably the worst time of